

Amazon.com, Inc.
AMZN NASDAQ

Buy	\$259.45 ▼ 0.71%	12M Price Target \$295.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.80T
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AMZN: Drone Expansion + AI Capex Race, But Consumer Wobbles

WHAT HAPPENED

- AMZN quietly bled 3% over the past week even though nothing bad happened — this is a "cooling off" tape, not a "something's broken" tape. Consumer Discretionary as a whole is down 2.4% on the week, so this is sector rotation, not an AMZN-specific problem. Money is flowing OUT of tech/consumer and INTO energy and healthcare (defensive + inflation hedge behavior).
- Two real headlines matter: (1) Amazon expanding drone delivery to ~500 locales — that's the logistics moat widening, and (2) Harvard's endowment disclosed a \$2.2B tech stake, which signals smart institutional money is still leaning into mega-cap tech even on the pullback.

WHY IT MATTERS

The Bezos \$346M share sale on Aug 3 at \$286 basically marked the local top — that's not a coincidence, insiders often sell into strength on pre-scheduled plans, but the market noticed. Here's what to think about: the options flow is bullish (put/call at 0.62 means way more calls than puts being bought), yet insiders are selling — that tells me institutions are positioning for a rebound while insiders are just harvesting gains on a scheduled basis. The drone expansion to 500 locales is a bigger deal than the market is pricing in — this is Amazon finally cashing in on years of FAA lobbying, and it directly threatens UPS/FedEx margins. If AWS Q3 comes in with 18%+ growth (driven by the Anthropic partnership and AI inference demand), this stock re-rates back to \$285+ fast.

POLICY & POLITICAL WATCH

The big one: FAA Part 108 rules on Beyond Visual Line of Sight (BVLOS) drone operations — the expansion to 500 locales suggests Amazon is getting regulatory green lights it couldn't get 2 years ago, which is a massive tailwind. On the antitrust front, the current administration has largely deprioritized the FTC's Khan-era case against Amazon — that's a huge quiet win worth maybe \$30-50/share in removed overhang. Watch also the ongoing China tariff situation: Amazon's 3P marketplace sellers eat tariff costs, so if the administration ratchets up Section 301 tariffs on Chinese consumer goods this fall, retail margins get squeezed even as AWS accelerates.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$259.45
12M Price Target	\$295.00
Upside / (Downside)	+13.7%
Market Cap	\$2.80T
FY2026E Revenue	\$745M
FY2027E Revenue	\$820M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	37.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$248.00
6 Months	\$310.00	\$285.00	\$240.00
1 Year	\$340.00	\$295.00	\$230.00
2 Years	\$400.00	\$340.00	\$220.00
5 Years	\$550.00	\$425.00	\$250.00
10 Years	\$850.00	\$600.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.5% week) — driven by geopolitical tension and inflation reacceleration fears; Healthcare (+1% week) — defensive rotation plus GLP-2 pipeline optimism.

COOLING OFF: Consumer Discretionary (-2.4% week) and Communication Services (-0.7%) — classic late-cycle rotation as investors worry about consumer strength and AI capex ROI.

ROTATION WATCH: Money is moving from growth/tech into defensives and energy — this is a "risk-off but not panic" pattern. For AMZN specifically, this means the pullback is macro-driven, not fundamental, which is actually a buying opportunity if you believe in the 12-month story.

RELATED PLAY: If you believe the drone expansion is real, the second-order play is data center REITs (DLR, EQIX) and power infrastructure (VST, CEG) — Amazon needs both to execute its AI + logistics vision.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy sector leader benefiting from oil price recovery and administration's pro-drilling stance
- LLY (Eli Lilly): Healthcare rotation beneficiary, GLP-1 franchise still expanding

AMZN CONTEXT: AMZN is lagging the mega-cap tech pack this week, but it's outperforming pure-play retail (Target, etc.) — this tells me the market is discounting Amazon as "half retail, half AI" and getting nervous about the retail half. When AWS puts up a strong Q3 print, that narrative flips fast.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio (core holding)

Entry Points: \$250-255 on pullbacks; add aggressively sub-\$240

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% or FTC revives major antitrust case

Hedging: Buy \$240 puts 3-6 months out, or pair-trade short XLY (consumer discretionary ETF)